

	WTP with SSN	
Last two digits of SSN	<50	>50
Product		
Toaster	\$25	\$32.5
Phone	50	70
Backpack	25	30
Radio Headphone	20	30
Average	\$30	\$41

Figure 3.3 Anchoring Example Results

Marketing departments and retailers around the world are aware of this powerful effect and deploy it against us every day. Think about the last time you went to the store and found an item “on sale.” “Wow!” you might think, “I can get this \$80 shirt for 40 percent off!” The dramatic discount and the high price anchor triggers an emotional response, which make us more likely to buy the shirt! The same tactic is used by real estate brokers, car salesmen, and teenagers every day. The original purchase price acts as an “anchor,” which subliminally impacts our “rational” minds and nudges us toward making a purchase.

But how might anchoring affect a professional stock-picking portfolio manager? Imagine the manager is conducting a discounted cash-flow analysis to determine a “buy” or “sell” recommendation. Her model requires an entry for what she believes to be the company's 10-year revenue growth forecast. Immediately before she enters in her assumption, two scenarios play out:

1. The manager's assistant walks in and mentions that her prior meeting with a new client has been moved to the *5th of January*.